



Regional Integrated Multi-Hazard Early Warning System

Program Unit/ Early Warning Facility

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TERMS OF REFERENCE

For Financial Audit

Period from 1 September 2025 to 31 March 2026 of the Project EnRICH

1. Background

Regional Integrated Multi-Hazard Early Warning System for Africa and Asia (RIMES) wishes to engage the services of an audit firm for the purpose of auditing the Enhancing Early Warning Systems to build greater resilience to hydro-meteorological hazards in Timor-Leste as stipulated in the agreement between RIMES and United Nations Environment Programme (UNEP). The audit shall be carried out in accordance with the international audit standards issued by The International Auditing and Assurance Standards Board (IAASB). The audit shall be carried out by an external, independent and qualified auditor.

2. Objective

The objective is to audit the financial report for the period 1 January to December 2025 as submitted to United Nations Environment Programme (UNEP) and to express an audit opinion

according to international audit standard on whether the financial report of the project is in accordance with the relevant terms and auditor's instruction for financial reporting as stipulated in the agreement, including annexes between RIMES and UNEP.

RIMES wishes to stress the importance that the auditor as part of the assignment reviews that the financial statements have been produced in accordance with the terms stipulated in reference to the grant agreement / UN policies.

Financial audit of the project 'Enhancing Resilience through Improved Climate and Hydrometeorological-services (EnRICH) under Bangladesh Climate and Environment Programme, implemented by RIMES through a Memorandum of Understanding, ID: 300991-404.

The overall objective of this audit is to assure Foreign, Commonwealth & Development Office (FCDO) that the funds paid by FCDO to RIMES are properly accounted for, used for the purposes intended by the UK Government and provides value for money.

The specific objectives of the Audit are as follows:

- a. To give an independent audit opinion on the financial statements of the Project, in particular, whether it gives a true and fair view of revenue and expenditure in accordance with the conditions laid down in the MoU and International Financial Reporting Standards (IFRS);

- b. To evaluate the internal control system of the project, identify the risk and provide recommendations, inclusive of any material weaknesses in internal control;
- c. To make observations in order to determine whether the project has satisfied in all material respects the objectives/conditions laid down in the MoU. All material matters which do not meet the said conditions and all illegal acts must be identified. Such observations will also include the requirements relating to any contribution to be made by the project;
- d. In addition to the above, any observations the auditors might want to bring to the attention of the management.

3. Scope of Work

The audit will cover accounts and supporting documentation of the project in the following offices: RIMES Bangladesh country office in Dhaka for the period 1 Sept 2025 to 31 March 2026 (audit period). The audit is based on Dhaka. No field travel required.

The audit work should include the review of work plans, progress reports, project resources, project budgets, project expenditure, project delivery, recruitment, procurement, operational and financial closing of projects and disposal or transfer of assets.

A reputed Audit Firm preferably local shall perform the audit work in accordance with International Standards on Auditing adopted in Bangladesh and generally accepted international best practice. Audit testing will be performed on a sample basis at least 65% expenditure coverage of the audit period. The auditor ensure that the expenditure coverage rate for each expenditure subheading in the Financial Report is at least 10% to determine whether expenditures are charged/ utilised in accordance with the terms of the MoU and budget and as per other applicable programme documents, laws, regulations, binding policies and procedures.

The auditors will be given access to all accounting records and supporting documents. In addition, FCDO project managers will provide copies of other records relating to the project as requested by the auditors for the purposes of the audit.

The audit will:

- a) Determine whether the project accounts present a true and fair view of the receipts and payments incurred for the reporting year in accordance with generally accepted accounting principles and the terms of the contract.
- b) If the auditor is to rely on the work of other auditors, where necessary:
 - Confirm the satisfactory operation of the audits of the implementing organisation/s and the adequacy of the annual audited statements of all previous years by examining the audit evidence used in their assessments.
 - Report on the adequacy of the operation of internal controls using assurance gained from internal audit reports where available. These controls are to provide reasonable assurance that the project's assets are safeguarded against loss from unauthorised use or disposition and transactions are executed in accordance with the terms of the contract.
- c) The audit firm will design tests and procedures to obtain sufficient and appropriate evidence to:

- i. Establish whether proper accounting records have been maintained;
 - ii. Review the accounting and internal control systems, and existing internal control arrangements exercised by the project;
 - iii. Assess the adequacy of the systems and controls to inform programme progress reports to FCDO;
 - iv. Physically verify a sample of assets purchased and / or construction / renovation works carried out;
 - v. Confirm the effectiveness of the systems for data capture and summary of financial progress against the activities in the work plan; and
 - vi. Confirm that financial transactions and procurement processes are in compliance with financial policy and procurement policy respectively and maintained clear separation of duties as per delegated authority while ensuring value for money.
- d) Specific assurance should be given to confirm whether:
- i. The budget fully reflects the plan and is profiled appropriately;
 - ii. Funds have been paid to the defined valid recipients, the receipts and payments (checking bank accounts/statements) have been properly accounted for, records of transactions include accurate information regarding any variations in currency exchange rates, where relevant, the expenditure has been used for the purposes defined in the MoU and hence for the purposes intended by the UK Government; and whether the expenditure is in line with the financial reports and reconcile the Financial Statements with all project sites' available system generated reports, annual procurement plans reflect fully the essential needs of the programme, the inventory of items purchased partly or entirely using the funds made available by FCDO are maintained effectively and properly as per the fixed asset guidance. The procedures for receipt, storage, and disposal shall also be reviewed;
 - iii. Review all contract and sub-contract, consultancy contract under the project. The review should include examining original contracts, the procurement process and RIMES oversight/monitoring of contractors/consultants.
 - iv. Review employees' individual files including timesheet and other relevant documents and ensure each employee has a valid engagement with RIMES in compliance with the local law;
 - v. Fraud allegation and fraud cases are being handled against fraud/ corruption policy;
 - vi. An adequate budgetary control system is in place to monitor actual expenditure against budget lines on a regular basis and to take effective remedial action as necessary;
 - vii. The existence and implementation of adequate segregation of duties in the maintenance and review of accounts, the performance of reconciliations and the processing of transactions;
 - viii. Expenditure of FCDO funds managed by the contractor has been disbursed on a timely basis and used in accordance with the MoU, with due attention

to economy, effectiveness and efficiency, and only for the purposes for which the funds were provided;

- ix. Inventories and asset registers are completed, and ownership of assets and stock is regularly (at least once a year) verified by physical checks to ensure that they exist and are being used for the intended purposes of the programme;
- x. All necessary supporting documents, records, and accounts have been kept in respect of all programme activities. Clear linkages should exist between the books of account and invoices presented to FCDO;
- xi. The auditor should identify weaknesses in control, whether in system design or operation. Detailed tests should be carried out to investigate whether there is evidence of losses of any kind.

The following steps should be considered in developing the audit programme. They are not considered as all-inclusive or restrictive in nature and do not constitute relief from exercising due professional care and judgement.

- 1) The auditors should familiarise themselves with the overall governance arrangements, accounting and auditing arrangements established by RIMES.
- 2) The auditors shall hold a meeting(s) with senior management of the project.
- 3) RIMES to establish the purpose and process that will be applied for the audit.
- 4) The auditors will provide feedback on progress of the audit to the project management so that issues identified can be resolved in a timely manner.
- 5) The auditors shall hold an exit meeting with the Head/ Management of RIMES. A draft of the auditor's report shall be made available to the Head of the project in reasonable time in advance of the exit meeting.
- 6) The services of the auditors will include, but not be limited to the following:
 - Review of relevant documentation at the project offices (if any);
 - Obtaining explanations from the project management team on spending from donor fund;
 - Review of the papers related directly to the above services;
 - The audit firm will will examine all the accounting records and documents available at RIMES Country Office based in Dhaka.

4. Audit Process

The audit should be conducted with the full participation of the project including the senior management of the project, as necessary. For verification of key project documentation (such as reports, project memorandum etc.), the auditors should contact FCDO.

The audit firm will submit 06 (Six) set of report and audited financial statement of project for the period mentioned at point 6.

a) The audit report will include:

- Observations on financial management systems in place at RIMES International as well as other project locations including any areas of deficiency on the operation of design or controls around those systems;

- Weaknesses in control, items of missing or unusable inventory and errors of commission or omission identified along with clear indications of the implications of those weaknesses;
- Results of any detailed tests carried out to investigate whether there is evidence of losses of any kind;
- Recommendations to improve financial management processes and controls and assurance arrangements; and
- Management's response on the auditors' findings and recommendations.

Furthermore, the auditor should comment on:

- The degree of financial compliance with the MoU and give comments, if any, on the matters affecting such compliance;
- Any control deficiencies present and confirm that they have only a limited potential for fraud and corruption in implementation of the programme, and
- Provide details of any actual fraud or corruption incidents during the period under review and the value of possible losses and
- Bring to the attention of FCDO any other matters considered pertinent;

b) Financial Statements

The financial statements of the project for the period 1 Sept 2025 to 31 March 2026 include the following components:

- Receipts and payments statement (Statement of Fund flows): A Summary of FCDO Funds Received and Expenses Paid for the period to be audited.
- Balance sheet (Statement of Financial Position), Income and Expenditure statement (Statement of Income and Expenditure) and Cash flow Statement (Statement of cash flows) for the period covered by the audit¹ and a statement of assets.
- Accounting policies and explanatory notes.

Audit Services Required:

RIMES is implementing projects to strengthen meteorological and hydrological collaboration between the UK Met Office, Bangladesh Water Development Board (BWDB), Bangladesh Meteorological Department (BMD) and associated delivery partners supporting disaster preparedness action in Bangladesh.

Package	Project Name	Project Period	Audit Period	Approved Budget during Audit Period	Tentative Audit Start & End date
01	Enhancing Resilience through Improved Climate and Hydrometeorological-services (EnRICH)	01 Sept. 25 to 31 Mar. 26		£269,310	25 March 2026. Completion date will be in accordance with the audit firm's plan

The start date of the assignment will be 25 March 2026. Completion date will be in accordance with the audit firm's plan submitted to RIMES one week prior to commencement for approval.

Required Documents:

The audit firm should submit the following documents along with the proposal:

- a) Tax Identification Number (TIN) Certificate
- b) Business Identification Number (BIN)
- c) Trade License
- d) Registration Certificate
- e) Latest Tax Return Certificate
- f) Company Profile along with assigned staff's CV's
- g) Relevant proof of Experience (If any)
- h) Other legal documents if relevant for an audit firm

5. Evaluation Criteria

Quotation will be evaluated based on the following scores:

CRITERIA	Score (%)
Qualifications and competence of the proposed staff	20
Demonstrated experience on similar assignments (at least five year assignments in auditing donor-funded projects successfully completed in the last 5 years)	30
Adequacy of the proposed technical approach, methodology and work plan in responding to this Terms of Reference	20
Financial Evaluation	30
TOTAL SCORE	100

6. Implementation Arrangement

- a. All reports including the final report will be addressed to Raihanul Haque Khan, Country Program Lead, RIMES. Prior to the final Audit Report, the first draft of the Audit Report needs to be shared with the Programme Management Adviser – Tasneem Rahman in FCDO Bangladesh based in Dhaka.
- b. The Audit firm will agree a timetable for reporting to Zannatul Moua Mumu, Senior Finance and Operations Officer, RIMES. It is our expectation that a draft report should be available within seven working days of the completion of all fieldwork and the receipt of all evidence requested by the audit firm.
- c. The auditors will arrange a closing meeting with RIMES. Subsequently, the audit firm will brief the Climate and Environment Team, FCDO Bangladesh on the draft audit findings for comments.
- d. In addition to the soft copy of the report and the management letter, the audit firm will provide a PDF version of the report to RIMES.
- e. The auditor will specifically report on the following to address the MoU provisions:
 - That funds provided by FCDO has not been used to meet the cost of import or customs duties or any similar fees imposed by the Government of Bangladesh on

- goods and services provided, except where specifically agreed with and allowed for by FCDO;
- RIMES has established and maintained an inventory of all items of equipment purchased (above £500/ equivalent in local currency or which has a useful life of more than one year) under the grant.
 - RIMES International will supply a separate auditors' certificate confirming the total income and expenditure in respect of the FCDO grant, together with the Annual Audited Accounts, prepared as set out in the MoU.
- f. Prior to the audit, the auditors shall certify that all information made available to them during the audit, whether in documentary form or told to them in discussion, will be held in confidence during and after the completion of the audit.

7. Scope of Collaboration

Area 1: Data and information enhancements. Aiming to enhance the breadth of the existing set of data and range of analytics and support Flood Forecasting and Warning Centre (FFWC) of BWDB to make more informed decision.

Area 2: Piloting and system enhancements. Aiming to test utilisation of additional data, model/data outputs and tools to enhance accuracy of current forecasting system.

Area 3: Capacity Building and Knowledge Exchange. Capacity-building will be provided by RIMES to support maintenance and wider rollout of system enhancement.

Area 4: Priorities for further development. The collaboration will consolidate learning throughout and undertake a short needs assessment to identify priorities for further development that could be undertaken from FY26/27 onwards. This is subject to availability of fund and approval from the UK.

Delivery Partner and Procurement Process

Risks and Mitigations

Risks: The project faces risks from a compressed timeline and potential election-related instability in early 2026.

Mitigation Measures: The risks are mitigated by front-loading activities, strengthening stakeholder coordination, and proactive government engagement. Oversight will be provided by a Project Advisory Committee (PAC) chaired by the Secretary, Ministry of Water Resources, while BHC Dhaka will lead monthly management meeting to review progress.

Project engagement with Government Offices and Locations

	Partner Agency	Site location	Remarks
1.	Bangladesh Water Development Board (BWDB)	Dhaka	
2.	Bangladesh Meteorological Department (BMD)	Dhaka	